

including Hong Kong SAR, Malaysia, and Singapore—have eased further in recent months, and there remains room for stimulus in Korea and other countries with low public debt. But high public debt or deficits in some cases—particularly in India, Indonesia, and the Philippines—greatly constrain the scope for further fiscal support.

Reflecting the greater-than-expected slowing in external demand and the weakness evident in sectors of domestic activity, growth projections across Asia have been revised down from those in the October 2001 *World Economic Outlook*, with recovery delayed into 2002. The sharpest reductions are in the outlook for the newly industrialized economies: Hong Kong SAR, Singapore, and Taiwan Province of China are now expected to grow by only around 1 percent in 2002, while firmer growth of 3½ percent is projected for Korea. Growth in the ASEAN economies is projected to reach just under 3 percent in 2002, with the outlook for Malaysia (which in addition has been hit by lower oil revenues) and Thailand much weaker than anticipated in October. Activity is expected to hold up relatively well in China, where growth of close to 7 percent is projected for 2002, and in south Asia, including India and Pakistan, where growth of 4½ to 5 percent is expected. The more robust activity among these countries reflects the fact that they are less exposed, although not completely immune, to the downturn in global trade and activity compared with most of the smaller Asian economies. The prospective winding down of the conflict in Afghanistan and provision of large-scale international assistance for recovery should contribute significantly to growth in that country and may also boost activity in the surrounding region.

The key uncertainty in the outlook for much of Asia is the strength of export demand—especially the pace of recovery in technology sectors—but there are also concerns about a broader-based deterioration in domestic activity and confidence. Further risks could arise from financial sector weakness in some countries, including Indonesia, Taiwan Province of China,

and Thailand. More generally, the deterioration in external financing conditions since September 11 could affect capital flows, including direct investment, to Asia and other emerging markets—highlighting the importance of further structural reforms to strengthen financial and corporate sectors and hence to sustain external confidence. With still large current account surpluses and reserves, however, together with flexible exchange rates in many countries, Asia is relatively well placed to withstand external shocks. Lower world interest rates and lower oil prices should also help—although declining oil revenues will add to fiscal and external financing pressures in oil-exporting Indonesia.

The outlook for Central America and the Caribbean has been revised down sharply, largely reflecting the impact of weaker U.S. growth, falling remittances, and, for the Caribbean in particular, the downturn in tourism (see Box 3.3). The U.S. slowdown has led to a marked downturn of activity in Mexico, with growth of only 1¼ percent projected for 2002 compared with the 4 percent predicted in the October *World Economic Outlook*. However, the maintenance of firm fiscal and monetary policies has helped support investor confidence, as has the ongoing strengthening of the financial system. This has been reflected in the continued strength of the peso and a narrowing of bond spreads, following some weakening in the immediate aftermath of the September 11 attacks. The early passage of tax reform measures would further strengthen fiscal sustainability and flexibility over the medium term.

The smaller countries in Central America and the Caribbean are particularly vulnerable to recent developments. In Central America, exports to the United States account for almost 20 percent of GDP while, in the Caribbean, tourism accounts for 7 to 50 percent of GDP and by some estimates 25 percent of employment in the region (Box 3.3). Given the size of the external shock these countries are facing, domestic adjustment efforts—already under way in the Caribbean—will need to be complemented by additional external financing.